

Amana Takaful PLC

Interim Report
31 December 2020



STATEMENT OF FINANCIAL POSITION

AS AT	Notes	Group		Company	
		Unaudited as at 31.12.2020 Rs.	Audited as at 31.12.2019 Rs.	Unaudited as at 31.12.2020 Rs.	Audited as at 31.12.2019 Rs.
ASSETS					
Intangible Assets		107,774,651	114,454,505	28,336,185	29,718,037
Property, Plant and Equipment		67,550,469	86,385,886	33,822,470	48,374,578
Right of use of Lease assets	3	237,056,658	255,334,446	9,553,221	13,818,976
Deferred Tax Asset	13	-	5,984,713	-	-
Investment Property		194,000,000	194,000,000	46,500,000	46,500,000
Investment in Subsidiary		-	-	1,052,867,811	1,052,867,811
Financial Assets	4	3,175,574,118	2,831,688,054	793,595,587	839,380,544
Financial Assets - Unit Linked	5	1,907,730,105	1,716,210,033	-	-
Retakaful (Reinsurance) Receivables		408,065,938	330,635,917	362,802,595	190,265,962
Contribution (Premium) Receivable		651,317,846	589,940,459	484,028,111	395,623,737
Other Assets		255,353,137	210,590,698	78,261,395	93,063,314
Cash and Bank Balances	11	103,799,985	260,272,858	45,668,143	167,389,849
Cash and Bank Balances - Unit Linked	11	2,243,871	38,197,730	-	-
Total Assets		7,110,466,777	6,633,695,302	2,935,435,517	2,877,002,808
LIABILITIES					
Insurance Contract Liabilities - Non Life		1,270,867,882	1,070,777,688	878,842,420	704,792,638
Insurance Contract Liabilities - Family Takaful Fund		448,962,516	471,280,391	-	-
Insurance Contract Liabilities- Family Takaful Unit Linked		1,923,297,936	1,747,559,594	-	-
Employee Benefits		82,713,809	82,572,410	32,070,128	38,851,542
Subordinated Debt		216,490,353	226,250,333	255,065,857	272,402,200
Deferred Tax Liability		4,496,687	-	-	-
Other Liabilities - Unit Linked		74,379,213	50,986,682	-	-
Other Liabilities		907,165,992	831,819,801	250,874,268	174,652,121
Lease Liability	3	102,744,579	113,097,657	10,167,651	14,053,815
Short Term Borrowings		-	157,857,492	-	157,857,492
Bank Overdrafts		-	56,123,560	-	56,123,560
Total Liabilities		5,031,118,967	4,808,325,606	1,427,020,323	1,418,733,368
SHAREHOLDERS' EQUITY					
Stated Capital	20	1,860,001,339	1,860,001,339	1,860,001,339	1,860,001,339
Other Reserves		153,658,224	141,525,164	28,477,953	30,029,658
Revenue Reserves		(495,961,737)	(637,893,262)	(380,064,098)	(431,761,555)
		1,517,697,826	1,363,633,241	1,508,415,194	1,458,269,442
Non Controlling Interest		561,649,983	461,736,457	-	-
Total Equity		2,079,347,810	1,825,369,698	1,508,415,194	1,458,269,442
Total Liabilities and Equity		7,110,466,777	6,633,695,302	2,935,435,517	2,877,002,808

The notes form an integral part of the Financial Statements.

We certify that the preparation and presentation of these Financial Statements comply with the requirements under Companies Act, No. 07 of 2007.

Signed

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M. Rinaz Niyas
Head of Finance

Signed for and on behalf of the Board

Signed

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Director

Colombo
25 February 2021

Signed

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Shehan Feisal
Chief Executive Officer

Signed

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Director

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 31 DECEMBER	Notes	Group			Company		
		Unaudited 2020 Rs.	Audited 2019 Rs.	Change %	Unaudited 2020 Rs.	Audited 2019 Rs.	Change %
Gross Written Contribution (Premium)	6	4,143,675,931	4,275,775,664	-3%	1,839,498,270	1,832,052,947	0%
Retakaful Contribution (Reinsurance Premium)		(1,181,376,681)	(1,156,962,914)	-2%	(485,571,649)	(482,358,879)	-1%
Net Written Contribution (Premium)		2,962,299,250	3,118,812,750	-5%	1,353,926,621	1,349,694,068	0%
Net Change in Reserve for Un-Earned Contribution (Premium)		30,591,806	173,788,550	-82%	(10,633,829)	127,361,817	-108%
Net Earned Contribution (Premium)		2,992,891,056	3,292,601,300	-9%	1,343,292,792	1,477,055,884	-9%
Other Revenue							
Income from investments		412,414,547	378,931,821	9%	76,704,464	92,868,259	-17%
Other income		158,707,819	200,418,925	-21%	35,900,278	59,566,374	-40%
Total Revenue	7	3,564,013,422	3,871,952,047	-8%	1,455,897,534	1,629,490,517	-11%
Benefits, Losses and Expenses							
Takaful (Insurance) claims and benefits		(1,642,928,125)	(2,244,905,116)	27%	(738,874,019)	(1,055,106,947)	30%
Acquisition Cost (net of reinsurance commission)		(286,368,827)	(258,813,573)	-11%	(106,614,737)	(106,451,597)	0%
Change in Family Takaful Contract Liability		(158,394,185)	(27,283,776)	481%	-	-	-
Other Operating and Administration Expenses		(1,115,702,941)	(1,414,233,932)	21%	(507,108,836)	(697,815,813)	27%
Depreciation		(47,165,124)	(45,720,357)	-3%	(19,441,511)	(21,821,792)	11%
Total Claims, Benefits and Expenses		(3,250,559,202)	(3,990,956,754)	19%	(1,372,039,103)	(1,881,196,148)	-27%
Profit / (Loss) from Operations		313,454,220	(119,004,708)	363%	83,858,432	(251,705,631)	133%
Finance cost		(39,438,127)	(32,814,219)	-20%	(33,712,679)	(32,992,874)	-2%
Profit/ (Loss) Before Taxation	10	274,016,093	(151,818,927)	280%	50,145,752	(284,698,505)	118%
Income Tax Expenses	12	(59,662,273)	(125,351,194)	52%	-	(96,792,137)	100%
Net Profit for the Period		214,353,820	(277,170,120)	177%	50,145,752	(381,490,642)	113%
Attributable to:							
Equity holders of the parent		Rs 121,522,427	Rs (337,009,989)				
Non-Controlling Interest		92,831,392	59,839,869				
		214,353,820	(277,170,120)				
Dividend per share		Rs 0.68	Rs (1.87)	136%	Rs 0.28	Rs (2.12)	113%
Interim dividend paid per share		-	-	-	-	-	-
Final proposed dividend per share		-	-	-	-	-	-

OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 31 DECEMBER	Group			Company		
	Unaudited 2020 Rs.	Audited 2019 Rs.	Change %	Unaudited 2020 Rs.	Audited 2019 Rs.	Change %
Profit/(Loss) for the period	214,353,820	(277,170,120)	177%	50,145,752	(381,490,642)	113%
Change in Fair Value of Available for Sale Financial Assets	27,050,288	133,598,072	-80%	-	-	-
Fair Value of Available for Sale Financial Assets Transferred to Policyholder's Reserve	4,835,645	3,278,674	47%	-	-	-
Defined Benefit Plan Actuarial Losses	-	(1,105,660)	-100%	-	928,180	100%
Foreign Currency Translation Differences for Foreign Operations	24,881,392	3,527,910	-605%	-	-	-
Total Comprehensive Income for the period	271,121,144	(137,871,124)	297%	50,145,752	(380,562,462)	113%
Attributable to:						
Equity holders of the parent	154,064,588	(259,637,943)				
Non-Controlling Interest	117,056,557	121,766,819				
	271,121,144	(137,871,124)				

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE QUARTER ENDED 31 DECEMBER	Group			Company		
	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %
Gross Written Contribution (Premium)	857,388,239	840,056,149	2%	450,585,854	417,405,719	8%
Retakaful Contribution (Reinsurance Premium)	(188,876,461)	(202,180,181)	7%	(109,238,742)	(108,611,823)	-1%
Net Written Contribution (Premium)	668,511,778	637,875,968	5%	341,347,113	308,793,895	11%
Net Change in Reserve for Un-Earned Contribution (Premium)	64,299,596	104,305,474	-38%	(10,528,861)	7,668,122	-237%
Net Earned Contribution (Premium)	732,811,374	742,181,442	-1%	330,818,252	316,462,018	5%
Other Revenue						
Income from investments	89,586,626	111,040,388	-19%	23,993,206	19,321,741	24%
Other income	64,010,628	30,655,790	109%	28,969,025	7,191,176	303%
Total Revenue	886,408,629	884,377,620	0%	383,780,483	343,474,934	12%
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits	(387,304,757)	(509,298,096)	24%	(158,722,292)	(281,535,845)	44%
Acquisition Cost (net of reinsurance commission)	(83,377,400)	(89,208,220)	7%	(34,709,931)	(28,957,495)	-20%
Change in Family Takaful Contract Liability	(49,681,826)	(35,690,786)	39%	-	-	-
Other Operating and Administration Expenses	(315,610,561)	(386,141,520)	18%	(167,638,390)	(169,112,161)	1%
Depreciation	(12,818,698)	(14,583,276)	12%	(5,212,601)	(6,045,363)	14%
Total Claims, Benefits and Expenses	(848,793,242)	(1,034,921,898)	18%	(366,283,214)	(485,650,864)	25%
Profit / (Loss) from Operations	37,615,387	(150,544,278)	125%	17,497,269	(142,175,929)	112%
Finance cost	(7,019,721)	(12,240,918)	43%	(6,478,030)	(10,910,315)	41%
Profit / (Loss) Before Taxation	30,595,665	(162,785,196)	119%	11,019,240	(153,086,245)	107%
Income Tax Expenses	(19,723,919)	(99,834,073)	80%	-	(96,792,137)	-
Net Profit / (Loss) for the Period	10,871,746	(262,619,270)	104%	11,019,240	(249,878,382)	104%
Attributable to:						
Equity holders of the parent	Rs 2,148,816	Rs (259,926,133)			-	
Non-Controlling Interest	8,722,930	(2,693,137)			-	
	10,871,746	(262,619,270)				
Basic / Diluted Earnings / (Loss) Per Share - Weighted Average - To Equity Holders	0.01	(1.44)	101%	0.06	(1.39)	104%
Dividend per share	-	-	-	-	-	-
Interim dividend paid per share	-	-	-	-	-	-
Final proposed dividend per share	-	-	-	-	-	-

OTHER COMPREHENSIVE INCOME

FOR THE QUARTER ENDED 31 DECEMBER	Group			Company		
	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %	Unaudited 2020 Rs.	Unaudited 2019 Rs.	Change %
Other Comprehensive Income						
Profit/(Loss) for the period	10,871,746	(262,619,270)	104%	11,019,240	(249,878,382)	104%
Change in Fair Value of Available for Sale Financial Assets	13,509,375	133,598,072	-90%	-	-	-
Fair Value of Available for Sale Financial Assets Transferred to Policyholder's Reserve	2,413,688	1,638,943	-47%	-	-	-
Defined Benefit Plan Actuarial Losses	-	(3,113,639)	100%	-	(1,079,799)	100%
Foreign Currency Translation Differences for Foreign Operations	6,486,001	24,543,435	-74%	-	-	-
Total Comprehensive Income / (Loss) for the period	33,280,810	(105,952,458)	131%	11,019,240	(250,958,180)	104%
Attributable to:						
Equity holders of the parent	15,132,738	(109,202,938)				
Non-Controlling Interest	18,148,072	3,250,480				
	33,280,810	(105,952,458)				

GROUP STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 31 DECEMBER 2020

	Other Reserves			Revenue Reserves		Non Controlling Interest	Total Equity
	Stated Capital	Revaluation Reserve	Translation Reserve	Available For Sale Reserve	Policy Holders' Reserve	Accumulated Losses	
	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)
Balance as at 1st January 2019	1,860,001,339	33,728,956	107,226,776	1,259,430	(61,960)	(378,883,276)	1,977,117,331
Net Profit/ (Loss) for the period	-	-	-	-	-	(73,466,584)	(14,921,192)
Other Comprehensive Income							
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders	-	-	-	-	1,235,189	-	1,500,838
Foreign Currency Translation Difference	-	-	(809,356)	-	-	-	(1,471,556)
Defined Benefit Plan Actuarial Losses	-	-	-	-	-	-	-
Total Comprehensive Income	-	-	(809,356)	-	1,235,189	(73,466,584)	(14,891,910)
Effect of acquisitions, disposals and change in percentage holdings in subsidiaries	-	-	-	-	-	-	-
Transfer of revaluation surplus to retained earnings, at the disposal	-	(1,370,919)	-	-	-	1,370,919	-
Dividend Distributed	-	-	-	-	-	(16,716,843)	(30,394,183)
Balance as at 31st December 2019	1,860,001,339	32,358,037	106,417,420	1,259,430	1,173,229	(467,695,784)	1,931,831,238
Net Profit/ (Loss) for the period	-	-	-	-	-	(263,543,405)	(262,248,928)
Net Change in Fair Value of Property, plant & equipment	-	-	-	-	-	-	-
Foreign Currency Translation Difference	-	-	2,749,707	-	-	-	4,999,467
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	1,463,159	-	1,777,836
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	73,478,940	-	-	133,598,072
Defined Benefit Plan Actuarial Losses	-	-	-	-	-	(745,670)	(1,105,660)
Total Comprehensive Income	-	-	2,749,707	73,478,940	1,463,159	(264,289,075)	(122,979,213)
Dividend Distributed	-	-	-	-	-	16,716,843	16,517,678
Total Changes in Ownership Interests	-	-	-	-	-	16,716,843	16,517,678
Balance as at 31st December 2019	1,860,001,339	32,358,037	109,167,127	74,738,370	2,636,389	(715,268,022)	1,825,369,698
Net Profit/ (Loss) for the period	-	-	-	-	-	121,522,428	214,353,820
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	14,877,658	-	-	27,050,288
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	3,979,736	-	4,835,645
Foreign Currency Translation Difference	-	-	13,684,766	-	-	-	24,881,392
Total Comprehensive Income	-	-	13,684,766	14,877,658	3,979,736	121,522,428	271,121,222
Dividend Distributed	-	-	-	-	-	-	(17,143,108)
Transfer of revaluation surplus to retained earnings, at the disposal	-	(1,551,705)	-	-	-	1,551,705	-
Total changes in ownership interests	-	(1,551,705)	-	-	-	1,551,705	(17,143,108)
Balance as at 31st December 2020	1,860,001,339	30,806,332	122,851,892	89,616,028	6,616,124	(592,193,889)	2,079,347,810

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 31 DECEMBER 2020

	Stated Capital (Rs)	Other Reserves	Revenue Reserves	Total Equity (Rs)
		Revaluation Reserve (Rs)	Accumulated Profit/ (Losses) (Rs)	
Balance as at 1st January 2019	1,860,001,339	31,400,577	(52,570,012)	1,838,831,904
Net Profit/ (Loss) for the period	-	-	(71,753,869)	(71,753,869)
Total Comprehensive Income	-	-	(71,753,869)	(71,753,869)
Balance as at 30th September 2019	1,860,001,339	31,400,577	(124,323,881)	1,767,078,035
Net Profit/ (Loss) for the period	-	-	(309,736,773)	(309,736,773)
Defined Benefit Plan Actuarial Losses	-	-	928,180	928,180
Transfer from the Revaluation Reserve	-	(1,370,919)	1,370,919	-
Total Comprehensive Income	-	(1,370,919)	(307,437,674)	(308,808,593)
Balance as at 31st December 2019	1,860,001,339	30,029,658	(431,761,555)	1,458,269,442
Net Profit/ (Loss) for the period	-	-	50,145,752	50,145,752
Transfer from the Revaluation Reserve	-	(1,551,705)	1,551,705	-
Total Comprehensive Income	-	(1,551,705)	51,697,457	50,145,752
Balance as at 31st December 2020	1,860,001,339	28,477,953	(380,064,098)	1,508,415,194

CASH FLOW STATEMENT

FOR THE PERIOD ENDED 31 DECEMBER	Group		Company	
	Unaudited 2020 Rs	Audited 2019 Rs	Unaudited 2020 Rs	Audited 2019 Rs
Cash Flows from Operating Activities				
Contribution (Premium) received from customers	4,505,086,086	5,042,801,921	1,950,781,151	2,251,575,118
Retakaful (Reinsurance) Premium paid	(1,079,658,584)	(1,007,189,923)	(412,236,984)	(486,182,033)
Claims, Benefits and Expenses paid	(1,777,426,654)	(3,061,415,093)	(880,383,644)	(1,680,890,080)
Retakaful (Reinsurance) Receipts in respect of Claims	442,814,349	891,532,018	333,415,449	684,599,623
Cash paid to and behalf of Employees	(869,581,160)	(720,263,051)	(486,571,193)	(558,631,038)
Profits received from Investments and Other Income	384,161,779	297,882,480	57,668,059	43,260,243
Dividends received	26,538,696	20,021,600	21,211,688	16,960,173
Finance Cost paid	(39,438,127)	(39,121,000)	(33,712,679)	(32,992,874)
Other operating cash receipts/ (payments)	(1,045,496,808)	(1,373,205,389)	(453,512,074)	(392,243,911)
Cash Flow from/(used in) Operating Activities (Note A)	546,999,577	51,043,563	96,659,772	(154,544,779)
Gratuity Paid	(11,297,961)	(5,198,854)	(10,436,485)	(4,057,042)
Income Tax Paid	(59,662,273)	(34,644,360)	-	-
Net Cash Flow from/(used in) Operating Activities	476,039,343	11,200,349	86,223,286	(158,601,821)
Cash Flows from/(used in) Investing Activities				
Purchase of Investment Securities	(1,577,121,432)	(1,083,270,245)	(469,328,076)	(136,396,867)
Sale of Investment Securities	1,048,612,111	1,097,327,689	437,001,103	137,450,492
Purchase of Intangible Assets	(728,200)	(31,522,493)	(728,200)	(834,800)
Purchase of Property, Plant & Equipment	(4,814,152)	(23,769,355)	(2,816,704)	(1,738,362)
Proceeds from Disposal of Property, Plant & Equipment	3,750,027	890,582	3,750,027	890,582
Sale of Investment Property	-	29,500,000	-	29,500,000
Net Cash Flow used in Investing Activities	(530,301,646)	(10,843,822)	(32,121,851)	28,871,046
Cash Flows from Financing Activities				
Repayment of Lease Facility	(21,586,019)	(13,746,220)	(5,639,686)	(5,024,583)
Short term Loan Obtained	93,000,000	477,000,000	93,000,000	477,000,000
Repayments of Short Term Borrowings	(256,559,408)	(519,919,785)	(256,559,408)	(519,919,782)
Obtained / (Repayments) of Subordinated Debt	(14,000,000)	181,647,786	(14,000,000)	174,657,440
Dividend Paid	(38,095,796)	(30,836,676)	-	-
Net cash flows from financing activities	(237,241,223)	94,145,104	(183,199,094)	126,713,075
(Increase)/Decrease in Cash and Cash Equivalents (Note B)	(291,503,530)	94,501,559	(129,097,658)	(3,017,700)

NOTE A

Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations

Profit/ (Loss) from Operations	313,454,220	(119,004,708)	83,858,432	(251,705,631)
Depreciation	42,689,534	24,762,530	15,175,756	15,419,143
Amortisations	4,475,590	8,212,337	1,381,852	2,142,711
Depreciation of Right of use assets	24,160,005	12,738,100	4,265,755	4,259,938
Provision for Gratuity	11,765,221	19,802,543	3,600,000	8,808,673
Unrealised (Income)/Losses	(32,588,344)	(38,098,809)	-	-
(Increase)/Decrease in Debtors and Other Assets	(183,569,848)	308,493,460	(246,139,087)	396,341,705
Increase/(Decrease) Family Takaful (Long Term Insurance) Fund	153,882,761	63,687,079	-	-
Increase/(Decrease) in Unearned Contribution (Premium)	(30,591,806)	(173,788,550)	10,633,829	(127,361,817)
Increase/(Decrease) in IBNR & General Reserve Provision	6,792,000	30,278,045	6,792,000	10,100,910
Increase/(Decrease) in Claims Provision	200,090,195	(179,679,757)	174,049,782	(170,553,687)
Increase/(Decrease) in Other Creditors	75,346,192	124,282,472	76,222,147	(8,464,825)
Profit on Sale of Property, Plant & Equipment	825,843	(890,582)	825,843	(890,582)
Finance Cost Paid	(39,438,127)	(32,814,219)	(33,712,679)	(32,992,874)
(Gain)/Loss on Fair Value of Investment Property	-	(500,000)	-	(500,000)
Exchange (Gain)/Loss	(293,857)	3,563,622	(293,857)	851,555
Cash Flows from/(used in) Operating Activities	546,999,577	51,043,563	96,659,772	(154,544,779)

NOTE B

Increase/(Decrease) in Cash and Cash Equivalents

Cash at bank and in Hand and Cash Equivalents	485,892,515	777,396,045	247,544,555	376,642,211
Over drafts	-	-	-	-
Cash and Cash Equivalents at the end of the period	485,892,515	777,396,045	247,544,555	376,642,211
Cash and Cash Equivalents at the beginning of the year	777,396,045	682,894,486	376,642,211	379,659,911
Cash and Cash Equivalents transferred to Amana Takaful Life Ltd	-	-	-	-
Decrease in Cash and Cash Equivalents	(291,503,530)	94,501,559	(129,097,658)	(3,017,700)

STATEMENT OF FINANCIAL POSITION
FAMILY TAKAFUL / LIFE INSURANCE SEGMENT - SUPPLEMENTAL

AS AT	Unaudited 31.12.2020 Rs.	Audited 31.12.2019 Rs.
ASSETS		
Intangible Assets	16,826,194	19,658,919
Property, Plant and Equipment	16,536,574	20,109,849
Right of use of Asset	11,722,575	16,063,681
Investment Property	147,500,000	147,500,000
Financial Assets	857,599,963	816,349,834
Financial Assets - Unit Linked	1,907,730,105	1,716,210,033
Contribution (Premium) Receivable	37,119,107	36,692,115
Other Assets	49,551,220	43,381,099
Cash and Bank Balances	32,744,563	70,324,846
Cash and Bank Balances - Unit Linked	2,243,871	38,197,730
Total Assets	3,079,574,173	2,924,488,105
LIABILITIES		
Insurance Contract Liability - Family Takaful Fund	448,962,516	471,280,391
Insurance Contract Liability - Family Takaful Linked Unit Linked	1,923,297,936	1,747,559,594
Employee Benefits	11,594,079	10,090,893
Finance Lease Liability	7,554,024	12,616,879
Subordinated Debt	81,417,058	81,417,058
Other Liabilities	72,553,084	62,683,754
Other Liabilities - Unit Linked	74,379,213	50,986,682
Total Liability	2,619,757,911	2,436,635,251
SHAREHOLDERS' EQUITY		
Stated Capital	500,000,000	500,000,000
Other Reserves	2,545,326	6,709,623
Retained Earnings	(42,729,065)	(18,856,770)
Total Equity	459,816,261	487,852,853
Total Equity & Liability	3,079,574,173	2,924,488,105

NOTES TO THE FINANCIAL STATEMENTS

1. Figures in the Interim Financial Statements for the period ended 31st December 2020 are provisional and unaudited.

2. These Interim Financial Statements of the Company and Group have been prepared in accordance with Sri Lanka Accounting Standards (SLAS) prefixed both SLFRS (corresponding to IFRS) and LKAS (corresponding to IAS), promulgated by the Institute of Chartered Accountants of Sri Lanka (ICASL) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000.

The same accounting policies and methods of computation as stated in the Annual Report 2019 have been followed in preparation of these Interim Financial Statements.

Comparative information has been re-valued/re-classified where necessary, to confirm to the current period recognition, measurement and presentation.

3. Right of Use Lease Asset

3.1 Right of Use Lease Asset AS AT	Group		Company	
	Unaudited 31.12.2020 Rs.	Audited 31.12.2019 Rs.	Unaudited 31.12.2020 Rs.	Audited 31.12.2019 Rs.
Balance as at 1st January	255,334,446	6,900,000	13,818,976	18,078,914
Effect of adoption of SLFRS 16 as at 1st January 2019	-	262,611,741	-	-
Net Depreciation for the period	(24,160,005)	(12,776,233)	(4,265,755)	(4,259,938)
Exchange Gain/loss	5,882,217	(1,401,062)	-	-
Closing Right of use lease asset as at 31st December	237,056,658	255,334,446	9,553,221	13,818,976

3.2 Lease Liability (Lease Creditor)

AS AT	Group		Company	
	Unaudited 31.12.2020 Rs.	Audited 31.12.2019 Rs.	Unaudited 31.12.2020 Rs.	Audited 31.12.2019 Rs.
Balance as at 1st January	113,097,657	3,849,823	14,053,815	-
Effect of adoption of SLFRS 16 as at 1st January	-	118,285,501	-	16,859,633
Interest Expense recognised in Profit or Loss	8,971,261	5,229,050	1,753,517	2,218,765
Settlement through lease payment	(21,586,019)	(13,746,220)	(5,639,686)	(5,024,583)
Exchange Gain/loss	2,261,675	(520,497)	-	-
Closing lease Creditors at 31st December	102,744,579	113,097,657	10,167,651	14,053,815

4. Financial Assets

AS AT	Group		Company	
	Unaudited 31.12.2020 Rs.	Audited 31.12.2019 Rs.	Unaudited 31.12.2020 Rs.	Audited 31.12.2019 Rs.
Financial Assets at Fair Value Through Profit or Loss (4.1)	159,919,989	559,286,964	-	-
Available For Sale Financial Assets (4.2)	611,079,352	50,039,119	25,466,329	525,000
Loans & Receivables (4.3)	2,404,574,776	2,222,361,971	768,129,257	838,855,544
	3,175,574,118	2,831,688,054	793,595,587	839,380,544

AS AT	Group		Company	
	Unaudited 31.12.2020 Rs.	Audited 31.12.2019 Rs.	Unaudited 31.12.2020 Rs.	Audited 31.12.2019 Rs.
4.1 Financial Assets at Fair Value Through Profit & Loss				
Investments in Equity Securities	82,074,712	559,286,964	-	-
Investment in Bullion	77,845,277	-	-	-
	159,919,989	559,286,964	-	-
4.2 Available For Sale Financial Assets				
Investments in Equity Securities - Quoted	529,022,814	21,483,888	-	-
Unit Trust	81,531,539	28,030,231	24,941,329	-
Investments in Equity Securities - Unquoted	525,000	525,000	525,000	525,000
	611,079,352	50,039,119	25,466,329	525,000
4.3 Loans and Receivable				
Repurchase Agreements	379,848,659	571,002,297	201,876,412	265,375,922
Fixed Term Deposits	2,013,276,172	1,637,612,055	556,138,885	560,055,696
Advances to Company Officers	11,449,945	13,747,619	10,113,960	13,423,926
	2,404,574,776	2,222,361,971	768,129,257	838,855,544

4.4 Financial investments- Group, includes a provision of Rs. 75,658,959 (2019 - 75,658,959). The said provision will be revised upon recovery

NOTES TO THE FINANCIAL STATEMENTS

5. Financial Assets - Unit Linked

AS AT	Unaudited as at 31.12.2020 Rs.	Audited as at 31.12.2019 Rs.	Unaudited as at 31.12.2020 Rs.	Audited as at 31.12.2019 Rs.
Financial Assets at Fair Value Through Profit or Loss (5.1)	87,337,459	58,391,703	-	-
Available For Sale Financial Assets (5.2)	30,176,056	28,900,391	-	-
Loans & Receivables (5.3)	1,790,216,589	1,628,917,941	-	-
	1,907,730,105	1,716,210,033	-	-

AS AT	Unaudited as at 31.12.2020 Rs.	Audited as at 31.12.2019 Rs.	Unaudited as at 31.12.2020 Rs.	Audited as at 31.12.2019 Rs.
5.1 Financial Assets at Fair Value Through Profit & Loss				
Investments in Equity Securities	81,997,585	58,391,703	-	-
Investment in Bullion	5,339,874	-	-	-
	87,337,459	58,391,703	-	-
5.2 Available For Sale Financial Assets				
Unit Trust	30,176,056	28,900,391	-	-
	30,176,056	28,900,391	-	-
5.3 Loans and Receivable				
Repurchase Agreements	30,767,990	30,110,959	-	-
Fixed Term Deposits	1,759,448,599	1,598,806,981	-	-
	1,790,216,589	1,628,917,941	-	-

5.4 Financial investments - Unit Linked, includes a provision of Rs. 6,183,604/- (2019 - 6,183,604).

6. Gross Written Premium (Contribution)

FOR THE PERIOD ENDED 31 DECEMBER	Unaudited 2020 Rs.	Audited 2019 Rs.	Unaudited 2020 Rs.	Audited 2019 Rs.
6.1 Non-Life (General Takaful)				
Motor	1,068,995,029	1,065,454,542	992,704,532	993,157,707
Fire	823,710,574	790,615,511	245,709,488	260,803,321
Marine	269,459,038	264,723,423	143,650,900	127,528,153
Medical	907,654,197	919,916,187	248,745,522	217,279,197
Miscellaneous	306,625,406	384,359,552	208,687,828	233,284,569
	3,376,444,245	3,425,069,215	1,839,498,270	1,832,052,947
6.2 Long Term Insurance (Family Takaful)				
Unit Linked	695,303,225	763,089,978	-	-
Family Takaful	48,516,119	60,280,672	-	-
Mortgage & Group Family Takaful	23,400,916	27,335,799	-	-
	767,220,260	850,706,449	-	-
Total Gross Written Premium	4,143,664,506	4,275,775,664	1,839,498,270	1,832,052,947

7. Revenue

7.1 Revenue by Segment

FOR THE PERIOD ENDED 31 DECEMBER	Group		Company	
	Unaudited 2020 Rs.	Audited 2019 Rs.	Unaudited 2020 Rs.	Audited 2019 Rs.
Segment				
Amana Takaful PLC	1,455,897,534	1,629,490,517	1,455,897,534	1,629,490,517
Amana Takaful Life PLC	1,056,964,249	1,140,739,633	-	-
Amana Takaful (Maldives) PLC	1,079,815,981	1,130,981,241	-	-
Amana Global Ltd	5,432,743	5,432,743	-	-
Eliminations	(34,097,085)	(34,692,087)	-	-
	3,564,013,422	3,871,952,047	1,455,897,534	1,629,490,517

7.2 Revenue

FOR THE PERIOD ENDED 31 DECEMBER	Group		Company	
	Unaudited 2020 Rs.	Audited 2019 Rs.	Unaudited 2020 Rs.	Audited 2019 Rs.
Gross written Contribution (Premium)	4,143,675,931	4,275,775,664	1,839,498,270	1,832,052,947
Less :				
Reinsurance premium	(1,181,376,681)	(1,156,962,914)	(485,571,649)	(482,358,879)
Net written premium	2,962,299,250	3,118,812,750	1,353,926,621	1,349,694,068
(Increase)/decrease in net unearned premium	30,591,806	173,788,550	(10,633,829)	127,361,817
Net earned premium	2,992,891,056	3,292,601,300	1,343,292,792	1,477,055,884
Income from investments	412,414,547	378,931,821	76,704,464	92,868,259
Other income	158,707,819	200,418,925	35,900,278	59,566,374
Total Revenue	3,564,013,422	3,871,952,047	1,455,897,534	1,629,490,517

NOTES TO THE FINANCIAL STATEMENTS

8. The Company has done a valuation of the insurance contract liabilities Life(FamilyTakaful) by the consultant actuary for the period ended 31st December 2020

9. The Company has done a Liability Adequacy Test (LAT) in respect of Insurance Contract Liabilities - Non-Life Fund as required by SLFRS4- Insurance Contracts as at 31st December 2020.

10. Profit/ (Loss) Before Taxation by Segment

FOR THE PERIOD ENDED 31 DECEMBER	Group		Company	
	Unaudited 2020	Audited 2019	Unaudited 2020	Audited 2019
Segment				
Amana Takaful PLC	50,145,752	(284,698,505)	50,145,752	(284,698,505)
Amana Takaful Life PLC	(32,872,237)	(29,118,030)	-	-
Amana Takaful Maldives PLC	278,884,002	172,989,636	-	-
Amana Global Ltd	(1,188,736)	(1,188,736)	-	-
Eliminations	(20,952,688)	(9,803,292)	-	-
Total	274,016,093	(151,818,927)	50,145,752	(284,698,505)

11. Cash and Cash Equivalents in Statement of Cash Flow

	Group		Company	
	Unaudited 31.12.2020	Audited 31.12.2019	Unaudited 31.12.2020	Audited 31.12.2019
AS AT				
Cash and Bank Balances	103,799,985	260,272,858	45,668,143	167,389,849
Cash and Bank Balances - Unit Linked	2,243,871	38,197,730	-	-
Bank Overdrafts	-	(56,123,560)	-	(56,123,560)
Investment in Government Securities	379,848,659	535,049,017	201,876,412	265,375,922
	485,892,515	777,396,045	247,544,555	376,642,211

12. 12.1 Amana Takaful PLC is liable to income tax at 24% (2019 - 28%)

12.2 Amana Global Ltd is liable to income tax at 24% (2019 -15%)

12.3 Amana Takaful Maldives PLC is liable to income tax at 15% (2019 - 15%)

12.4 Amana Takaful Life PLC is liable for income tax at 24% (2019 - 28%)

13. Amana Takaful PLC has recognised tax losses of which Deferred Tax Asset was not recognized amounting to Rs.1,411,781,913/- in 2019, The recognized taxable loss during the financial year 2019 is amounting to Rs.315,493,015 will be carried forward for another six years.

14. The nature of related party transactions in the current period is similar to those reported in the Annual Report 2019.

15. There has not been a significant change in the assets pledged as disclosed in the Annual Report 2019.

16. Comparative figures have been restated wherever necessary to conform to the current periods presentation.

17. There has not been a significant change in the nature of the contingent liabilities as disclosed in the Annual Report 2019.

18. No events have occurred since the reporting date that necessitates adjustments to or disclosure in the Financial Statements.

19. In terms of Direction for Identification and Treatment of One-Off Surplus issued by the Insurance Regulatory Commission of Sri Lanka (Direction # 16 – 20.03.2018), the Long-Term Insurance Business of the Company has generated a One-Off Surplus of Rs.28,963,821 as at 1st January 2016. The One-Off Surplus amount remaining after relevant additions and deductions is retained in the Policyholders Liability in the Long Term Insurance Fund

20. Stated Capital as at 31st December 2020 is represented by shares in issue as given below:

	Unaudited 31.12.2020	Audited 31.12.2019
Number of shares as at		
Ordinary shares - Voting	180,000,130	180,000,130

21. Share Information

	Group		Company	
	31.12.2020 Rs.	31.12.2019 Rs.	31.12.2020 Rs.	31.12.2019 Rs.
Net asset value per share	8.43	7.58	8.38	8.10
Market price per share as at	10.70	5.30	-	-
Highest price per share for the period	11.00	6.50	-	-
Lowest price per share for the period	7.80	5.10	-	-

NOTES TO THE FINANCIAL STATEMENTS

Twenty Largest Shareholders as at 31st December 2020

Name of Shareholder	No. of Shares	%
Amana Bank PLC/Mr. Shafik Kassim	30,468,567	16.93
Amana Bank PLC	27,009,180	15.01
Seylan Bank PLC/Senthilvel Holdings (Pvt) Ltd	26,332,249	14.63
Mr. Sattar Kassim	19,626,458	10.90
Mr. Osman Kassim/Mrs. K. Kassim	17,899,708	9.94
Amana Bank PLC/Mr. Osman Kassim	15,500,000	8.61
Aberdeen Holdings (Pvt) Limited	11,454,279	6.36
Amana Bank PLC/Mr. Sattar Kassim	11,235,294	6.24
Falcon Trading (Pvt) Ltd	2,861,302	1.59
Alpha Investment Holdings Limited	2,677,941	1.49
Mr. Mohamed Haji Omar	551,513	0.31
Seylan Bank PLC/Jayantha Dewage	414,308	0.23
Mr. Joseph Rohan Victoria	335,209	0.19
Mr. Farook Kassim	325,000	0.18
Mr. Sithambaram Pillai Jayakumar/Ms. M. Periasamy	300,000	0.17
Mr. Ravindra Earl Rambukwella	299,220	0.17
Mrs. Nabeela Haroon	270,000	0.15
Mr. Gajath Chrysantha Goonetilleke	256,031	0.14
Mr. Nandadeva Perera	221,448	0.12
Mubasher Financial Services BSC	190,184	0.11
	168,227,891	93.46
Others	11,772,239	6.54
Total	180,000,130	100.00

Public Shareholding

	31.12.2020	31.12.2019
Float Adjusted Market Capitalisation (Rs.)*	911,106,487	378,357,370
Percentage of Shares held by the Public	47.31%	39.66%
Number of Public Shareholders	5298	5741

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of the Listing Rules.

* Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage

Directors' Shareholdings

	No. of Shares 31.12.2020	No. of Shares 31.12.2019
Mr. Osman Kassim	33,399,708	33,300,024
Mr. M.H.S. Kassim	22,040	Nil
Dr. A.A.M. Haroon	2	4
Mr. M.R.M. Nayeem	Nil	Nil
Mr. Syed Rizwan Hussain	Nil	Nil
Mr. M. Zulficar Ghouse	Nil	Nil
Mrs.E. D. Wickramasuriya (Appointed w.e.f. 22.12.2020)	Nil	Nil

CEO's Shareholding

Mr. Ahmed Shehan Feisal - CEO	Nil	Nil
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CORPORATE INFORMATION

NAME OF THE COMPANY

Amana Takaful PLC

LEGAL STATUS

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act, No. 07 of 2007 on 27th June 2007.

COMPANY REGISTRATION NUMBER

PQ 23

TAX PAYER IDENTIFICATION NUMBER(TIN)

134007958

STOCK EXCHANGE LISTING

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka in November 2006. Stock Exchange Code for Amana Takaful PLC shares is 'ATL'.

DIRECTORS

Mr. Osman Kassim - Chairman
Mr. M.H.S. Kassim - Managing Director
Dr. A.A.M. Haroon
Mr. M.R.M. Nayeem
Mr. Syed Rizwan Hussain
Mr. M. Zulficar Ghouse
(Appointed w.e.f. 22.12.2020) Mrs.E. D. Wickramasuriya

SHARIAH ADVISORY COUNCIL

Mufti M.I.M. Rizwe - Chairman
Mufti Shafique Ahmed Jakhura - Member
Ash-Sheikh Murshid Mulaffar- Secretary

CHIEF EXECUTIVE OFFICER - ATPLC

Mr. Ahmed Shehan Feisal - CEO

CHIEF EXECUTIVE OFFICER - ATLPLC

Mr. Gehan Shivantha Rajapakse

REGISTERED OFFICE

No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka

SUBSIDIARY

Amana Takaful Life PLC
No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka
Amana Takaful (Maldives) PLC
H. Mialani, Sosun Mogu, Male, Republic of Maldives
Amana Global Limited
No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka

AUDITORS

Ernst & Young Chartered Accountants

CONSULTANT ACTUARIES - LONG-TERM INSURANCE

Actuarial Partners Consulting Sdn Bhd
Suite 17.02 Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur, Malaysia

CONSULTANT ACTUARIES – GENERAL INSURANCE

NMG Financial Services Consulting Pte Limited
65 Chulia Street
#37-07/08, OCBC Centre
Singapore 049513

REINSURANCE PANEL

Swiss Reinsurance Company Ltd
Labuan Reinsurance (L) Ltd, Labuan, Malaysia
Asian Re
GIC Retakaful
Ocean Re
Saudi Re
Tunis Re
Hannover Re
Munich Re

SECRETARIES

Managers & Secretaries (Pvt) Ltd

PRINCIPAL BANKERS

Amana Bank PLC/Pan Asia Bank/National Development Bank/
Bank of Ceylon/Commercial Bank/Sampath Bank/Hatton National Bank
/Nations Trust Bank/Deutsche Bank/ Seylan Bank/MCB Bank